How to Use Your Escape-the-W2 Planner

SKU STR-001 · ESCAPE THE W2 PLANNER

What this workbook does

Computes the math behind quitting your W-2 to live on STR income. Current household expenses, target portfolio cash flow, replacement-income gap, and the realistic quit date your portfolio earns its way to. No magical thinking — just the income math, the runway math, and the contingency math.

Most "I'm going to quit my job and do Airbnb full-time" decisions are made on vibes. This workbook is the spreadsheet that tells you whether the vibes match the numbers.

First-time setup (15 min)

1. Open tab **Current State** — household monthly expenses (mortgage / rent, utilities, food, insurance, healthcare, transportation, debt service, savings rate). Your current W-2 net pay.
2. Tab **Target State** — what you want monthly STR income to cover (typically 100-110% of current expenses + a comfort buffer).
3. Tab **Portfolio Snapshot** — every property you currently own + projected net cash flow per month per property.
4. Tab **Acquisition Pipeline** (optional) — properties you plan to acquire over the next 36 months, with expected cash flow per acquisition.

Reading the outputs

- **Current Gap:** target monthly income − current portfolio cash flow. The number you need to close.
- **Years to Quit (status quo):** how long at your current acquisition pace to close the gap. Often 4-7 years.
- **Years to Quit (accelerated):** how long if you ramp acquisition to 1 property every 12 months (or whatever cadence you input).
- **Quit Date:** the month when projected portfolio cash flow ≥ target income. Comes with a confidence interval based on your stress-test inputs.

What the workbook makes you face

- **Healthcare bridge:** if you're quitting before Medicare age, you need health insurance. Marketplace plans for a family of 4 run $1,800-$3,000/month. The workbook adds this to your target.
- **Tax bracket flip:** when STR income replaces W-2 income, your effective tax rate often goes UP (SE tax for active hosts) or stays similar (Schedule E filers). The workbook flags this so you don't quit on gross numbers.
- **Cash buffer:** the workbook insists on 6 months of expenses in liquid savings before quit date. Don't quit and then panic-list properties at low rates because you need cash.

Stress tests

The Stress Test tab models three downside scenarios:

- 20% revenue drop across the portfolio (recession / market softening)
- One property unexpectedly goes vacant for 6 months (regulation, fire, eviction)
- Healthcare costs +50% (catastrophic year for the family)

If your quit date still works under all three, you're in good shape. If any of them push the quit date >24 months later, build more buffer or delay.

Questions?

hello@thestrledger.com — real humans, fast replies.

Upgrade path: The Full version on thestrledger.com adds the acquisition schedule (which markets to buy in, in what order, with cap-rate targets), the partner risk-share modeling (if your spouse keeps W-2 to bridge), and a printable Conversation Doc for the kitchen-table conversation with your partner.

How to Use Your STR Deal Analyzer

SKU ACQ-001 · STR DEAL ANALYZER

What this workbook does

Underwrites a single short-term rental property purchase. Plug in price, financing, projected revenue, and operating expenses — the workbook outputs cash-on-cash return, DSCR, cap rate, and a verdict (BUY / WALK / NEGOTIATE) on the Verdict tab.

Use this BEFORE you make an offer. Once a deal is locked, the workbook becomes your underwriting record for lender + CPA.

First-time setup (5 min)

1. Open tab **Property Inputs** — fill in the property address, purchase price, closing costs, and rehab budget.
2. Tab **Financing** — enter loan amount, rate, term, points. The workbook auto-computes monthly P+I.
3. Tab **Revenue Forecast** — pull comp data from AirDNA, Rabbu, or Mashvisor for the same zip code + bed count. Plug in projected ADR + occupancy. The workbook computes annual gross.
4. Tab **OpEx** — enter cleaning, utilities, insurance, property tax, management fee %, supplies, internet, software, repairs reserve. The workbook computes annual NOI.

Reading the outputs

- **Cash-on-cash return:** annual cash flow ÷ total cash invested. Anything 8%+ is solid for STR; 12%+ is exceptional.
- **DSCR (Debt Service Coverage Ratio):** NOI ÷ annual debt service. Lender minimum is typically 1.20–1.25. Below 1.0 means the property doesn't cover its own loan.
- **Cap rate:** NOI ÷ purchase price. Useful for comparing properties across markets.
- **Verdict tab:** auto-classifies the deal BUY / WALK / NEGOTIATE based on your thresholds (Settings tab).

When to walk

The Verdict tab fires WALK when DSCR < 1.20 OR cash-on-cash < 6%. Both can be addressed by negotiating price down or restructuring financing — but if neither is possible, walk. STR markets soften; over-leveraged properties don't survive.

At offer time

1. Print the Underwriting Summary tab to PDF. Send to your lender — most underwriters appreciate it.
2. Print the Verdict tab — that's your decision record.
3. If you submit an offer, save a copy of the workbook in your deal folder named `<address>-underwriting-<date>.xlsx`.

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Upgrade path: The Full version on thestrledger.com adds stress-testing (bad-occupancy / bad-ADR scenarios) and the Y1-vs-stabilized toggle. The Acquisition Bundle pairs it with the Cost-to-Launch Calculator (ACQ-002) and 5-Year Pro Forma (ACQ-008).

How to Use Your Cost-to-Launch Calculator

SKU ACQ-002 · COST-TO-LAUNCH CALCULATOR

What this workbook does

Forecasts the total cash you need to take a residential property from "I just closed" to "first guest checks in." Closing costs, rehab, furnishings (120-item line-by-line), licensing, photography, listing setup, and the 90-day operating runway. Plus Y1 ROI projection so you know whether the launch dollars come back.

Use this BEFORE you wire your earnest money. Most STR launches go over budget by 30-50% because the buyer didn't have a line-by-line list — they had a guess.

First-time setup (10 min)

1. Open tab **Property Snapshot** — name, address, beds, baths, square footage, target opening date.
2. Tab **Closing Costs** — paste your loan estimate from the lender. The workbook breaks out the deductible vs capitalizable items.
3. Tab **Rehab + Repairs** — line items for any pre-launch fixes: paint, flooring, appliances, plumbing, electrical, exterior. Use your inspection report.
4. Tab **Furnishings (120-item)** — the heart of the workbook. Pre-loaded with a complete furnishing list: bedroom by bedroom, kitchen, bath, living, exterior, technology, supplies. Mark each item Buy / Already Have / Skip and enter cost.
5. Tab **Setup Costs** — STR license / TOT registration, professional photography, listing copy, software subscriptions (PriceLabs, Hostfully, AirDNA), insurance binder.
6. Tab **Operating Runway** — 90 days of fixed costs (mortgage, insurance, utilities, software) reserved against zero bookings.

Reading the outputs

- **Total Cash to Launch:** the sum of all 6 input tabs. This is the money that needs to be in your account at closing.
- **Y1 ROI:** Y1 net income ÷ total cash to launch. Anything 12%+ is solid; under 8% means reconsider the deal.
- **Furnishing density:** total furnishing $ ÷ square footage. Industry benchmark for 4-star STR: $25-35/sqft. Lower = under-furnished, higher = over-spent.

Categories to watch

- **Furnishings is where most launches blow the budget.** $5-15K is the realistic range for a 2-bed, 2-bath. The 120-item list catches everything (toaster, can opener, ice tray) that "I'll just grab one" turns into $3K of forgotten items.
- **90-day operating runway is non-negotiable.** STR launches take 60-120 days to ramp to stabilized occupancy. Without runway, you panic-list at low rates and tank your search ranking.

At launch

1. Print the Master Cost Summary tab to PDF. Save in your deal folder.
2. Use the Furnishings tab as your shopping list. Check items off as you buy them.
3. After launch, the Y1 Actual column lets you compare projected vs. actual. Use that delta to budget your next acquisition more accurately.

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Upgrade path: The Acquisition Bundle pairs this with the STR Deal Analyzer (ACQ-001), 5-Year Pro Forma (ACQ-008), and Furniture Setup Budget detailed tool (ACQ-007).

How to Use Your Rental Arbitrage Analyzer

SKU ACQ-003 · RENTAL ARBITRAGE ANALYZER

What this workbook does

Analyzes a master-lease (rental arbitrage) deal: you sign a long-term lease on a property, the landlord allows STR sublet, you list it on Airbnb / VRBO. Lower upfront capital than buying, but margins are thinner and lease-term risk is real.

The workbook computes monthly cash flow under realistic occupancy + ADR assumptions, includes an MTR (mid-term rental — 30+ day stays) fallback when STR underperforms, and stress-tests the deal under occupancy / rent / ban scenarios.

First-time setup (5 min)

1. Open tab **Lease Terms** — monthly rent, term (months), security deposit, deposit-on-broker amount, sublet permission language, exit clauses.
2. Tab **Setup Costs** — furnishings (use ACQ-002 if you have it), photography, software, insurance binder, STR registration.
3. Tab **Revenue Forecast — STR mode** — projected ADR + occupancy from AirDNA / Rabbu comps for the same zip + bed count.
4. Tab **Revenue Forecast — MTR fallback** — projected mid-term monthly rent (relocating professionals, traveling nurses). Workbook flips to this if STR ban or low-occupancy regime hits.
5. Tab **OpEx** — utilities, internet, software, supplies, cleaning per turn. (No mortgage, no property tax, no insurance on the building — that's your landlord's problem.)

Reading the outputs

- **Monthly cash flow under STR:** projected revenue − rent − OpEx. Target $400+/mo per unit; under $200 doesn't justify the work.
- **Monthly cash flow under MTR fallback:** the same property listed at 30+ day stays. If MTR cash flow is positive, the deal survives an STR ban.
- **Breakeven occupancy:** occupancy % needed to cover rent + OpEx. If breakeven is >65%, the deal is fragile.
- **Lease-term ROI:** total cash flow over the lease term ÷ setup costs.

When to walk on an arbitrage deal

- Breakeven occupancy >70%
- MTR fallback is negative (no Plan B)
- Sublet permission isn't in writing
- Lease term <24 months (not enough runway to recoup setup costs)
- Local STR regulations are pending — don't sign into a market that's about to ban you

At lease-signing

1. Get sublet permission **in writing in the lease**. Verbal doesn't count.
2. Keep a copy of the workbook with your lease — it's your underwriting record.
3. Set a calendar reminder for 90 days before lease end to re-run the workbook on renewal terms.

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Upgrade path: Pair with the Cost-to-Launch Calculator (ACQ-002) for accurate setup-cost forecasting and the STR vs LTR Yield Comparison (ACQ-012) if you're comparing arbitrage to a buy.